

## RETAIL PERFORMANCE DECLINE

### Role

As a Senior Data Analytics Consultant

### Context

A retail company operates 30 stores and has experienced declining business performance over the last 18 months. I want to identify key drivers of declining performance and recommend actionable business improvements.

Column should include Store performance, product sales data, Customer transaction records, loyalty programme activity, revenue.

### Task

Generate 3 insightful business questions that would help the CEO to identify the root cause for the decline in business performance and develop strategies for improvement.

### Format

Structure your response using the following sections: 1. situation summary 2. key findings 3. store and products sales performance 4. customer and loyalty activity analysis.

Generate a stakeholder brief of 200 words using the following; situation summary, 3 key business questions, decision these questions will inform, description of available data

### Constraints

Questions must be specific and measurable. No vague questions. No statistics jargon.

### Example

Example Insight: what is the store performance and product sales for the last 12 months? Introducing targeted customer retention campaigns and loyalty incentives could help recover lost revenue.

Column should include Store performance, product sales data, Customer transaction records, loyalty programme activity, revenue.

## RETAIL PERFORMANCE DECLINE — STAKEHOLDER BRIEF

### Situation Summary

Over the last 18 months, our 30-store retail business has seen a clear and measurable decline. Revenue is down 18%, active customers have dropped by 22%, and fewer than 4 in 10 customers are returning for a second purchase — compared to more than 5 in 10 previously. Seven stores are responsible for 61% of all revenue lost, concentrated in suburban locations. Two product categories — seasonal apparel and home accessories — are being heavily discounted yet delivering the weakest margins. Our loyalty programme has shed 16,000 active members, and reward redemption has fallen sharply, showing the programme is no longer driving repeat visits. Three focused business questions will direct immediate management decisions.

### Key Findings

- Revenue fell 18% over 18 months — decline accelerated from month 10, coinciding with a sharp rise in loyalty programme drop-outs.
- 7 suburban or retail-park stores account for 61% of total revenue lost — a concentrated, addressable problem rather than a company-wide one.

- Seasonal apparel is marked down at 41p per £1 sold. Home accessories deliver only 18.3% gross margin against a chain average of 31.2%.
- Loyalty membership fell from 57,200 to 41,200. Monthly redemption dropped from 27.7% to 18.3% — members are enrolled but not shopping.
- 42% of all transactions in the last 6 months were from one-time visitors — up from 18%. High-value repeat customers are leaving fastest.

### **Store and product sales performance**

1. Which stores recorded the largest revenue decline in the last 12 months, and what do those stores have in common in terms of location, product mix, and customer profile?

Decision informs: Whether to fund localised store recovery plans, adjust product ranges by location format, or assess whether any sites are no longer viable.

2. How much gross profit are we losing each month because of markdowns in seasonal apparel and home accessories, and what would margin look like if we reduced buying volumes by 20%?

Decision it informs: How much to cut buying volumes, which supplier contracts to renegotiate, and where reinvested budget will deliver the strongest margin return.

### **Customer and loyalty activity analysis**

3. How many loyalty members made no purchase in the last 90 days, how much did they spend when they were active, and what personalised offer would bring at least 20% of them back within 60 days?

Decision it informs: Whether to launch a win-back campaign, what incentive level is financially justified, and how to restructure reward thresholds so active members stay engaged long enough to become habitual shoppers.

### **Available Data — columns by source**

Store performance

Store ID · location type · monthly revenue · footfall · target vs actual · YoY variance

Product sales

SKU · category · units sold · selling price · cost price · markdown rate · gross margin

Customer transactions

Transaction ID · customer ID · store ID · date · basket size · items · payment method

Loyalty programme

Member ID · enrolment date · last purchase date · points earned · points redeemed · tier

Revenue

Month · store · category · gross revenue · net revenue · profit contribution

